low. Rather, the real challenge is to improve job *quality* defined by metrics such as wage levels, job stability, and benefits such as paid sick leave. However, offering higher wages and benefits is costly. Employers can only sustainably pay higher wages and benefits if employee productivity exceeds their costs. So, the main way to improve job quality is to increase productivity.

The primary obstacle to higher productivity is our weaknesses in human development—spanning education, nutrition, and skills. Data indicate that over half of rural Indian children complete primary school without being able to read a simple paragraph. Further, 35 per cent of children under 5 are stunted, adversely affecting their lifelong education and health. The early years of life are crucial for cognitive development: children who have not 'learnt to read' by age 10 are not equipped to 'read to learn', placing them at a permanent disadvantage in a skill-driven job market. Notably, every East Asian 'miracle' economy that had sustained growth rates over 8 per cent had education systems that delivered high-quality learning to almost all citizens.

If current trends persist, in 2047, 25 per cent of children will still be stunted, and 16 per cent of rural Indian children will still complete Class 5 unable to read at a Class 2 level. We can and must do better, aiming to deliver universal foundational literacy and numeracy and sharply reduce child stunting in the next decade. Doing so will both enhance the life prospects of millions of children, and also lay the foundation for faster economic growth.

**Spending smartly:** However, improving education and nutrition is not simply a matter of increasing budgets. Research consistently shows that the translation of 'government as usual' expenditure into outcomes is very poor. We spend a lot on items that have limited impact on outcomes, and do not spend enough on highly effective and cost-effective ideas. We need to spend smarter.

For instance, a recent large-scale study in Tamil Nadu found that adding a worker focused on early-childhood education in government-run anganwadis significantly improved learning outcomes and reduced stunting by 17 per cent by doubling instructional time, and enabling the existing worker to focus more on nutrition. The long-term benefits of the programme are estimated to be 12-20 times the cost, yielding a return on investment of 1,200-2,000 per cent! Thus, adding a worker in every anganwadi across India could directly create over a million jobs, increase female labour force participation, and lay the foundation for faster human development and economic growth in a cost-effective and affordable manner.

Beyond expanding evidence-based interventions, it is essential to shift policy discourse from the top-line of budget allocations to the bottom-line of outcomes. A key enabler of this shift is better outcome data. For instance, Telangana recently conducted a district-level KPI (key performance indicator) survey across 50,000 households, which will yield annual data on child nutrition and learning outcomes at the district level. Such annual data can transform governance and development, by focusing government efforts on improving outcomes rather than simply implementing schemes.

Finally, as the examples above show, much of the action in delivering essential public services is at the state level. Thus, accelerating human development and growth will require enhanced trust and coordination between central, state, and local governments with a lot more attention paid to improving the effectiveness of state and local governments. ■



## THE GIANT STEPS

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- Every East Asian 'miracle' economy that had sustained growth rates over 8 per cent had education systems that delivered high-quality learning to almost all citizens
- Policy discourse must shift from the top-line of budget allocations to the bottom-line of outcomes. A key enabler of this is better outcome data
- We spend a lot on items that have limited impact on outcomes, and not enough on highly effective and cost-effective ideas. We need to spend smarter

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